

# ZF ADAS Carve-Out

## Supplier Information Pack

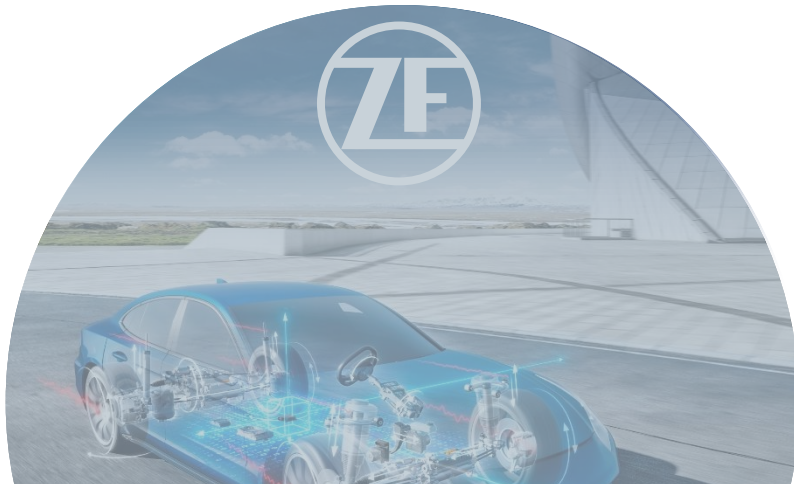
March 2026



Strictly confidential

# ANNOUNCEMENT

## ZF sells ADAS Business to In-Cabin Electronics Leader Harman



**As announced in our press release as per Dec 2025 ([Link to press release](#)),  
the sell of the ZF ADAS business is planned for HY2/2026.  
Please let us emphasize that the transaction is subject to pending regulatory approvals.  
Until Closing, ZF remains your contact person (and NOT Harman).**

### Electronics

Chassis Electronics, Passive Safety Electronics

### ADAS Business

Camera Solutions, ADAS Functions, Compute Solutions



# Harman is the preferred partner for Automotive & IVI Solutions with a proven product track record

## Harman company information



- Deep automotive expertise in hardware and software
- Rigorous testing of offered solutions
- Technology that powers 50 M cars with leading OEMs globally

**AN  
AUTOMOTIVE  
POWERHOUSE**

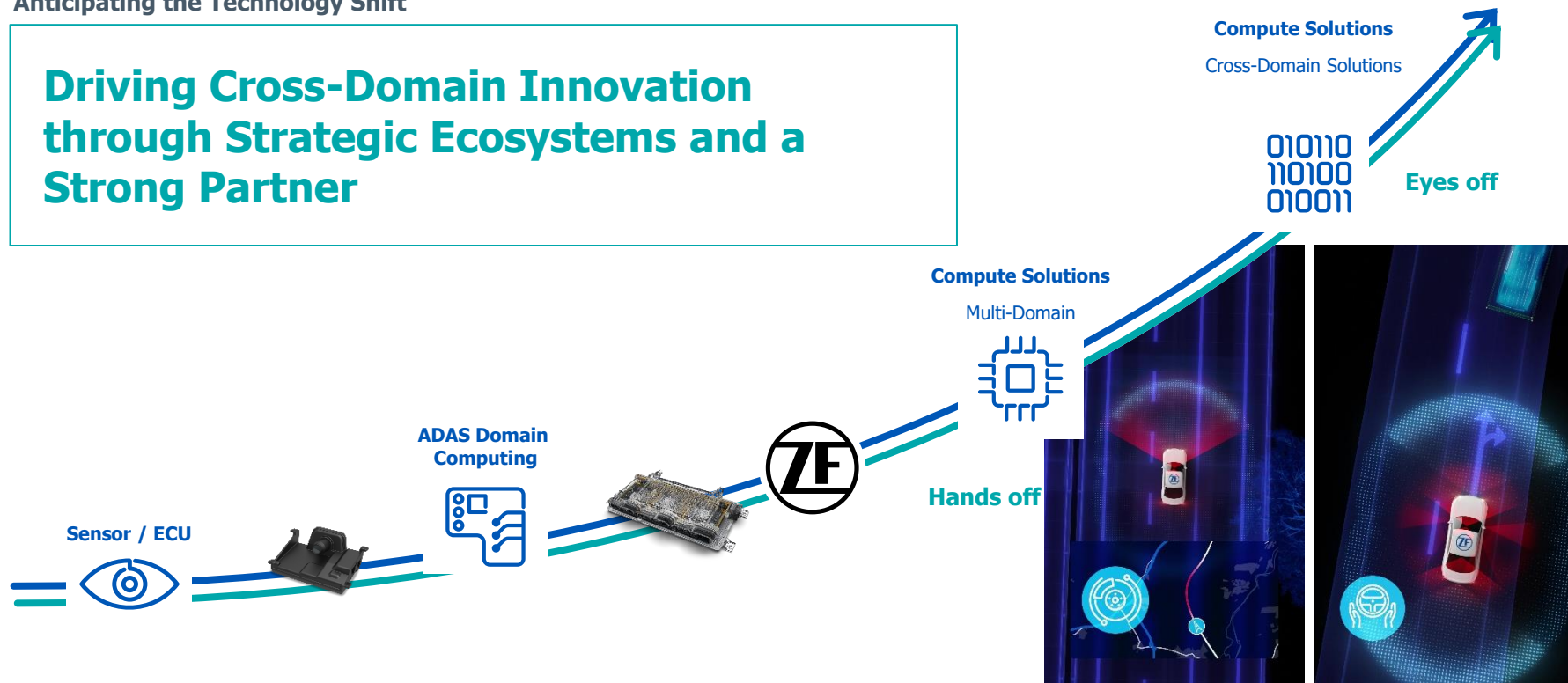
**SAMSUNG**

- Global top five brand
- Significant R&D with a strong patent portfolio
- A leading position in semiconductor manufacturing

# Partnering with Harman accelerates the shift toward hands-off and eyes-off technologies

## Anticipating the Technology Shift

**Driving Cross-Domain Innovation  
through Strategic Ecosystems and a  
Strong Partner**



# Both partners share a common vision for a unified platform

## Combined offering of ZF and Harman



**Established products in  
ZF ADAS' existing  
portfolio**



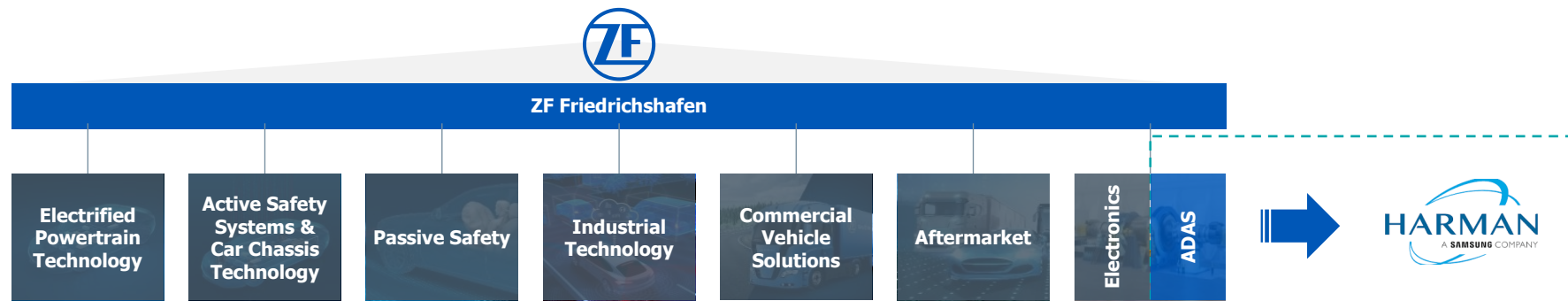
**Further  
advancement based  
on combined  
capabilities**

**Established products in  
Harman's existing  
portfolio**



# ADAS partnership progresses as planned, with no expected impact on supplier interfaces, deliveries, or service levels

## Partnership overview

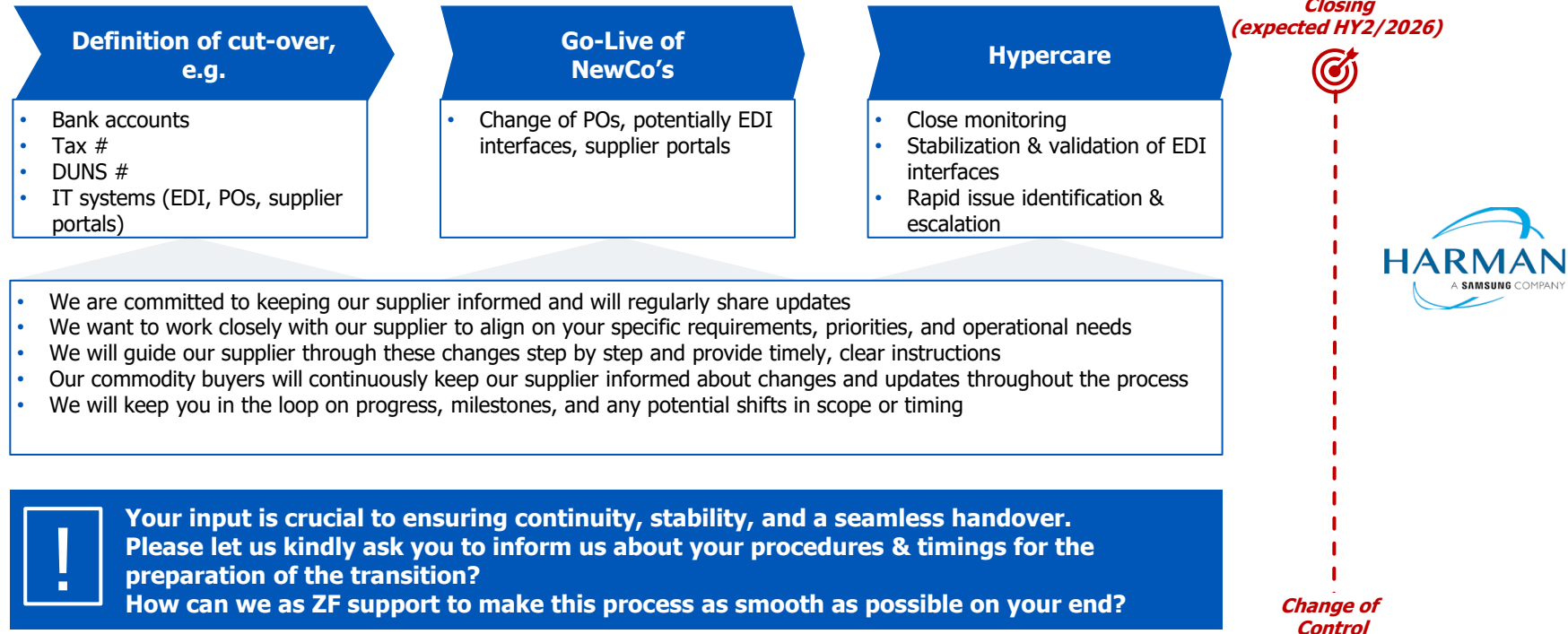


### Background:

- **Transaction:** ZF Group is selling its Advanced Driver Assistance Systems (ADAS) business unit for passenger cars to Harman International Inc., subject to regulatory approvals and expected to close in H2/2026
- **Scope:** The carve-out includes ADAS compute, camera, radar, and software activities, while chassis electronics, passive safety technology remain with ZF. Furthermore, will ZF continue its activities in the field of driver assistance and autonomous driving in the commercial vehicle sector
- **Strategic Rationale:** Automotive OEMs are moving toward centralized architectures integrating ADAS and IVI (In-Vehicle Infotainment); the transaction combines ZF's ADAS capabilities with Harman's in-cabin expertise to deliver integrated or modular solutions and establish a leading cross-domain automotive electronics supplier. At the same time, the transaction reduces ZF's financial liabilities and allows sharper focus on its core technologies, including chassis, powertrain, commercial vehicles, and industrial applications
- **Employees:** Approximately 3,750 ZF employees are expected to transfer to Harman upon completion of the transaction
- **Timeline:** Signing: Dec-25, Closing: expected H2/2026, Sign-to-Close: Carve Out process and regulatory approvals

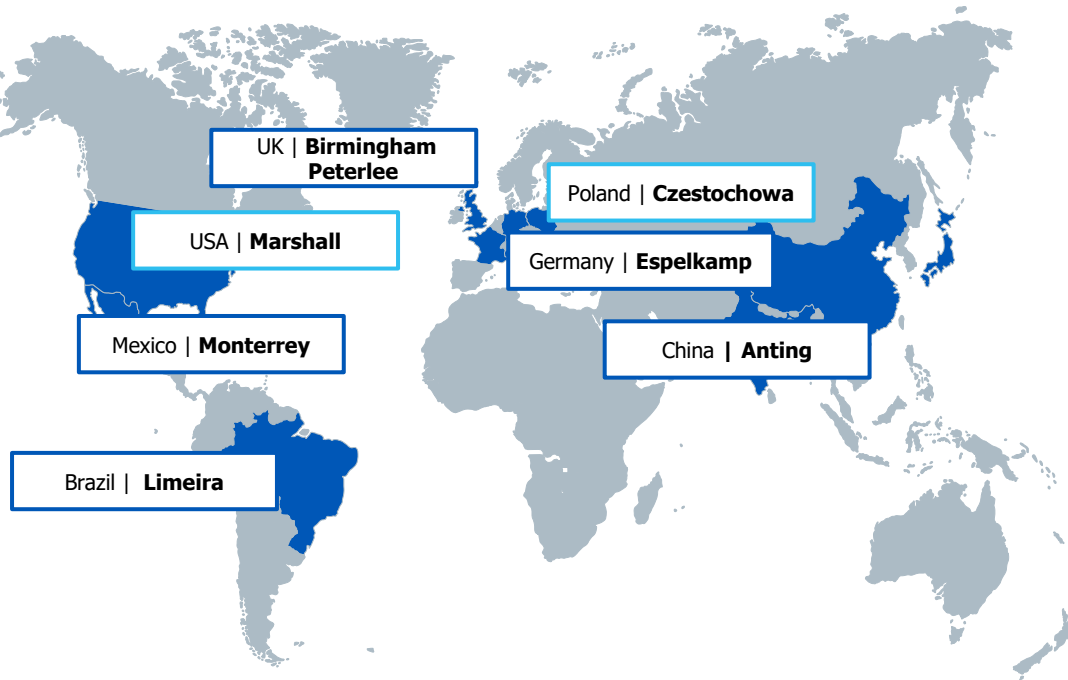
# We will inform our suppliers and work together with them to ensure a smooth and timely transition from ZF to Harman

## Planned timeline and impact on Procurement



# Two production sites will be transferred from ZF to Harman, while the remaining sites will remain with ZF

## Global Footprint for future organizations: Overview affected production sites



### Engineering & other sites

All sites will be maintained under Harman  
Physical separation from ZF offices



### Production Plants

Agreement between ZF and Harman to continue production after closing



ZF and Harman will maintain **Contract Manufacturing Agreement (CMA)** to ensure continuity of supply and ongoing production



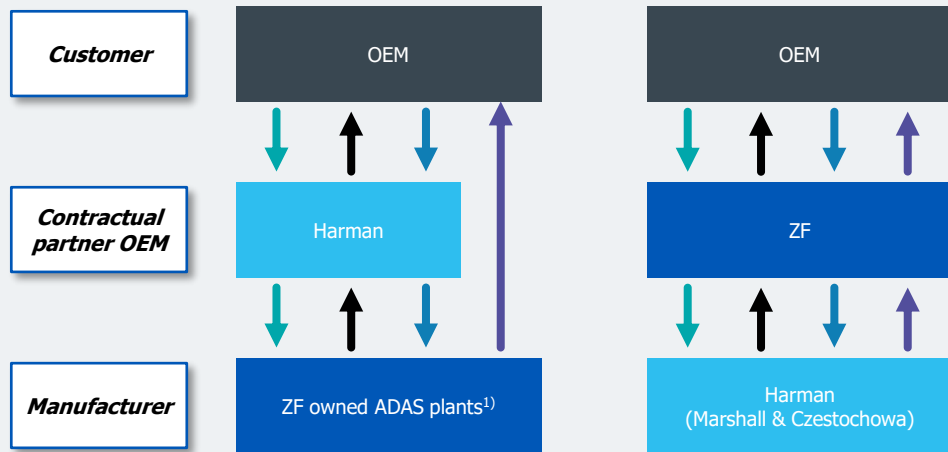
**Guiding principle:** Line transfers are scheduled to occur post-Closing to achieve full business separation



# After Closing, ZF and Harman will establish a contract manufacturing agreement to ensure seamless supply to the OEM

## Option 1: ADAS

## Option 2: Electronics for chassis and passive safety technology



*The illustration for product supply shows the "standard" case. However, there might be exceptions, e.g. that Electronics products like safety ECUs are shipped directly to the customers*

## 1. Introduction

As ZF does not have dedicated ADAS and dedicated Electronics plants today, most plants produce both product groups. Depending on the current production location the respective parts will be supplied under the Contract Manufacturing Agreement (CMA) between ZF and Harman to ensure seamless supply to the OEM.

## 2. Commercial & Technical Interface

The Product Owner (ZF for Electronics and Harman for ADAS after closing) remains the sole contractual partner for the OEM and will be responsible to select and negotiate with the supplier.

## 3. Production Execution (Contract Manufacturer) – under the oversight of the principal

The partner entity acts as an extended workbench, executing physical production, logistics, and quality assurance (incl. APQP/PPAP). The contract manufacturer will raise POs and pay the supplier based on the terms contractually agreed with the product owner.

## 4. Production transfer

Supply location will not change on the immediate aftermath of the deal. To ensure a smooth separation of the business, the production lines of ADAS will be relocated at Harman sites and vice versa in the future. At the moment, there is no immediate action for production line transfers before closing foreseen.



↓ Order   ↑ Products   ↑ Invoice   ↓ Payment   ■ ZF   ■ Harman

Supplier Information Package Mar 2026

1) Anting, Espelkamp, Limeira, Monterrey, Peterlee, Brimingham

**NOTE: Subject to closing (dependent of regulatory approvals)**

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# Ensuring a smooth transition of contracts with a lean approach



Signing  
(23<sup>rd</sup> Dec. 25)

Asset-Deal  
(1-2 months prior to closing)

Closing / Share Deal  
(HY2-26)



## Change of contracts and POs to new legal entity (still under ZF)

- Most jurisdictions require the **explicit consent from the supplier** to formally transfer the contract to the new entity
- A **standard assignment letter will be sent that must be counter-signed** and returned swiftly to prevent billing delays and ensure the supply chain runs without interruption
- The **"bill-to" and "sold-to" information** on the open POs to reflect the new legal entity once **routing details will be provided**
- The **core parameters**—quantities, pricing, and original delivery dates—**must not change**
- Administrative **updates must be without altering production schedules**

## Change of control from ZF to Harman

- To eliminate repetitive administrative work for sites, the **single assignment letter signed during the Asset-Deal (Phase 1)** already will include a waiver for any "Change of Control" clauses triggered by this final share sale to Harman
- As the **legal entity of contract will remain exactly** the same during this share deal, **no further paperwork** will be required



# In order to not disrupt production, we expect from you as the supplier...

## What We Expect From You For An Easy Transition:



### **Maintain Current Terms:**

Continue operating under your existing terms, conditions, and pricing; no commercial renegotiation is needed



### **Do Not Cancel Open POs/EDI:**

Keep all current purchase orders active in your system and strictly preserve the original requested receipt and ship dates to avoid production delays



**Update Your Master Data:** Once provided, promptly update your billing and ERP systems with the new legal entity's name, tax IDs, and banking details to ensure your invoices are processed smoothly



### **Keep Using Current Systems:**

Continue using established digital platforms (such as SupplyOn) and adhere to all existing quality, logistics, and sustainability protocols



**Simple Consent Process:** For standard agreements, no new paperwork is required; your continued fulfillment of orders and submission of invoices will automatically serve as your consent to the transition

# FAQ | Even if the process raises questions, delivery to the customer must be guaranteed at all times

## Frequently asked questions

1

### **What action should we take regarding open Purchase Orders (POs) that cross the transition date?**

You must jointly with your ZF buyer ensure that the "bill-to" and "sold-to" information on open POs are updated, to reflect our new legal entity once we provide the routing details. However, the core parameters—quantities, pricing, and original delivery dates—must not change. Please make these administrative updates without altering production schedules so we continue to receive parts exactly as negotiated.

2

### **How should we handle invoicing for the new entity?**

We will supply you with our new legal entity name, tax IDs, and banking information prior to the transition. You will simply need to update your internal master data to bill the new entity. The accepted methods for submitting invoices (such as Invoices via EDI or PDF) will not change.

3

### **Do we need to sign a formal consent document for this transition?**

Yes, but only once. Because the transition begins as an asset deal, we need your consent to transfer our contract. We will send a single assignment letter for you to sign, which also waives any "Change of Control" clauses for the final share sale to Harman. Once signed, no further paperwork is needed, and you can simply continue delivering parts as scheduled.

# The system landscape will remain as-is, with timely supplier outreach on potential EDI and interface modifications

## IT Implications



Legal entity name will change on ZF side but the **integration platform** is planned to remain **unchanged**, ensuring continuity of operations during and after the transaction.



The **existing EDI connection for Marshall [US] and Czesochowa [PL]** will be re-used. There will **be changes necessary to realize Drop Ship relations per EDI**. Changes on UNB-ID's as well as supplier numbers will **need to be aligned until 31.03.2026**.



The **ZF EDI team will contact you to coordinate** any potential **EDI connection changes** by **March 31, 2026**. If you need to align this earlier, please reach out to the ZF EDI Team at [edi-support@zf.com](mailto:edi-support@zf.com).



**Portal accounts** are planned to be **re-used** and **business continuity** will be maintained, ensuring that all customer and supplier connections transition seamlessly.



# Next Steps: Activities Over the Next 4-6 Weeks



## Contract Updates

We will begin the administrative process of cloning and assigning your existing frame contracts to the new legal entity. **Your current ZF contacts will reach out to you directly with the necessary documents**



## EDI & Schedule Adjustments

As we manage transition-related production moves, **you may notice unusual fluctuations** in your **EDI demand** signals. If you see highly abnormal volumes (far less or far more than usual), **do not act immediately**. Please contact your Material Planner before adjusting your production



## Ongoing Updates

We will **provide regular, structured communication** to **keep you fully informed** on the upcoming milestones of the transition process

**We kindly ask you to reach out to your respective ZF Buyer if there are any questions.**

**Thank you**